Illustration 15

Kavitha, Kumudha and Lalitha are partners sharing profits and losses in the ratio of 5:3:3 respectively. Kumudha retires from the firm on 31st December, 2018. On the date of retirement, her capital account shows a credit balance of ₹ 2,00,000. Pass journal entries if:

(i) The amount due is paid off immediately by cheque.

(ii) The amount due is not paid immediately.

(iii) ₹ 70,000 is paid immediately by cheque.

Solution

Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
2018 Dec. 31	(i) Kumudha's capital A/c	Dr.		2, 00,000	
	To Bank A/c				2, 00,000
	(Amount due paid immediately)				
,,	(ii) Kumudha's capital A/c	Dr.		2,00,000	
	To Kumudha's loan A/c				2,00,000
	(Amount due transferred to loan account)				
,,	(iii) Kumudha's capital A/c	Dr.		2,00,000	
	To Bank A/c				70,000
	To Kumudha's loan A/c				1,30,000
	(₹ 70,000 paid and the balance transferred to loan account)				

Illustration 16

Mani, Rama and Devan are partners in a firm sharing profits and losses in the ratio of 4:3:3. Their balance sheet as on 31st March, 2019 is as follows:

Liabilities	₹	₹	Assets	₹
Capital accounts:			Buildings	80,000
Mani	50,000		Stock	20,000
Rama	50,000		Furniture	70,000
Devan	50,000	1,50,000	Debtors	20,000
Sundry creditors		20,000	Cash in hand	10,000
Profit and loss A/c		30,000		
		2,00,000		2,00,000

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